SEAMLESS TRANSACTION

BREAKING BOUNDARIES, OPEN BANKING CAN MAKE TRANSACTIONS QUICK, YET SECURE. AND GIVE CONSUMERS THE BEST OPTIONS AND A HANDLE ON THEIR FINANCES

By **M.G. ARUN**

Imagine that you are looking to apply for a loan, but do not know which bank to approach. Or you do not have the time to pore over the fine print to assess what's the right tenure. Just then, you get a call from a reputed bank, offering you exactly what's best for you. Sounds unlikely? It won't be, once the plan to implement the open banking concept in India catches up.

Open banking provides third-party financial service providers open access to consumer banking, transaction and other financial data from banks and non-bank financial companies (NBFCs) through the use of application programming interfaces (APIs), i.e., a set of programming codes. It relies on networks instead of any central control, making this exchange of financial data secure.

WHY IT IS A GAME CHANGER

With access to the consumers' transaction data, the other banks and NBFCs can identify the best financial products and services for them, such as a new account that would earn a higher rate of interest or a different credit card with a lower interest rate. It also helps lenders get a more comprehensive picture of a borrower's

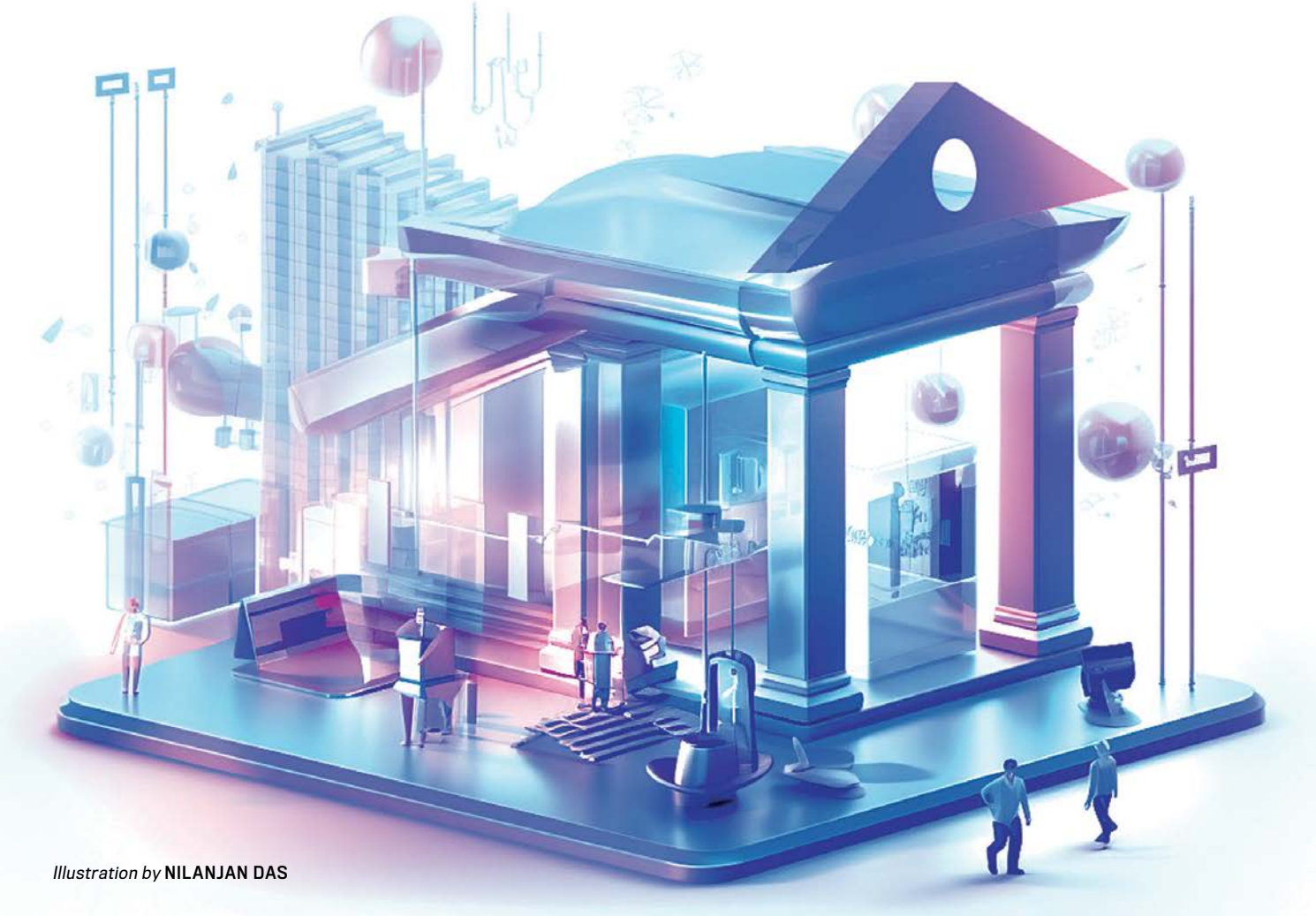


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